Anatomy of a Smooth Transition

AGI displacement · fiscal and social safety nets

01

AGI displaces

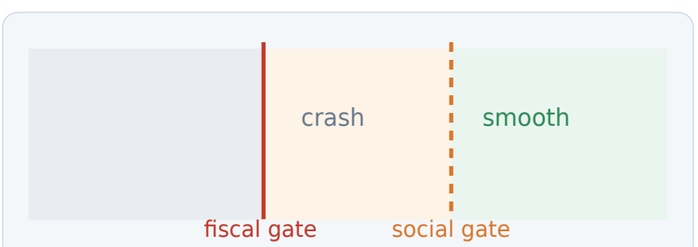
AGI reaches into task creation itself, weakening the re-absorption of displaced workers.

$\omega \downarrow$

02

Two gates

A fiscal gate on the consumption floor and a social gate on adjustment speed separate the crash and smooth basins.



03

Full absorption

Public employment takes over the whole labor force, keeping consumption above the floor with zero residual unemployment.

0.407 > 0.30

min C_t above C^{min}, full-absorption path

Workfare — smooth
consumption stays above the floor

No policy — fails
the consumption floor is breached

Outcomes are conditional on the stated settings: the fiscal gate binds at frontier growth $g_A = 0.095$ under $\tau = 0.15$, while under high taxation the social gate sets an adjustment-speed boundary near $g_A = 0.14$.